HOW TO EVALUATE THE SUCCESS OF ECONOMIC POLICIES

at achieving the economic objectives in the AUSTRALIAN ECONOMY



WHAT ARE ECONOMIC OBJECTIVES?

Economic objectives are the goals the government and policymakers aim to achieve to improve the wellbeing of Australians.

KEY ECONOMIC OBJECTIVES

SUSTAINED ECONOMIC GROWTH
Increase the size of the economy and productivity over time.

FULL EMPLOYMENT
Achieve low unemployment and high participation in the workforce.

PRICE STABILITY (LOW INFLATION)
Keep inflation low and stable (RBA target: 2–3%).

BALANCE OF PAYMENTS EQUILIBRIUM
Sustainable trade, investment and external position.

ECONOMIC EQUITY & SOCIAL INCLUSION
Fair distribution of income and opportunity across the community.

MOST RELEVANT RIGHT NOW

Based on current conditions in Australia (2024–25):

- ☑ Price Stability (Inflation easing but still above target)
- ☑ Sustained Economic Growth (Growth has slowed)
- ☑ Full Employment (Unemployment low, but cost of living pressures remain)

*These are interconnected!

WHY EVALUATE POLICY?

Policies (fiscal, monetary, microeconomic and structural) use limited resources and can have trade-offs. Evaluating them helps us see what's working, what's not, and what adjustments are needed to better meet our objectives.



HOW TO EVALUATE: A STEP-BY-STEP FRAMEWORK

Use this simple framework to judge whether an economic policy is successful at achieving its objectives.

1 IDENTIFY THE POLICY & OBJECTIVE

- What policy is being evaluated? (e.g., RBA interest rate decision, government spending on infrastructure)
- Which economic objective(s) is it intended to achieve?

Be clear on the "what" and the "why.".

2 UNDERSTAND THE POLICY MECHANISM

- How is the policy supposed to work?
- What are the predicted short-term and longer-term effects on the economy?

Use diagrams (like flow charts) to map it out.

3 CHOOSE INDICATORS

Select reliable data that shows progress towards the objective.

- Use a mix of leading, lagging and coincident indicators.

Data tells the story. Make it evidence-based!

4 MEASURE & COMPARE

- Compare current data to:
  - Targets (e.g., inflation 2–3%)
  - Historical trends
  - Peer countries (if relevant)

Context matters! Don't just look at one number.

5 ASSESS TRADE-OFFS & SIDE EFFECTS

- Did the policy create any unwanted consequences?
- Did it help one objective but hurt another?

Good policy balances competing goals.

6 MAKE A JUDGMENT

Overall, **how successful** has the policy been in achieving the objective?

- Successful
- Partially successful
- Not successful

Explain your reasons using evidence.

EVALUATION IS ONGOING.
Keep monitoring, because economic conditions change, and policies may need to be adjusted.

APPLYING THE FRAMEWORK: AUSTRALIA TODAY (2024–25)



Australia is facing cost of living pressures, slower growth, high interest rates, and global uncertainty.

HOW WE'D EVALUATE CURRENT POLICIES AGAINST THE TOP OBJECTIVES

PRICE STABILITY (LOW INFLATION)

Examples of policies	Mechanism	What success looks like
RBA increases cash rate; government reduces demand pressure.	Lower spending & borrowing → ↓ demand → ↓ inflation	☑ Inflation returns to the RBA target band of 2–3%, sustainably.

SUSTAINED ECONOMIC GROWTH

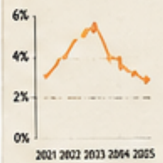
Examples of policies	Mechanism	What success looks like
Infrastructure investment; tax incentives for business; skills & productivity reforms.	More productive capacity → higher output & incomes over time.	☑ Real GDP growth around trend (~2.5–3%); productivity improves.

FULL EMPLOYMENT

Examples of policies	Mechanism	What success looks like
Active labour market programs; training; business investment support.	More people get jobs / better match of skills	☑ Low unemployment (around 4% or below) with strong participation.

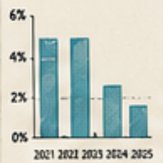
KEY INDICATORS WE WOULD CHECK

INFLATION (TRIMMED MEAN CPI)



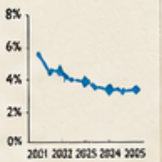
Falling from its peak, but still above target at 3.6% (Mar qtr 2025).

REAL GDP GROWTH (ANNUAL)



Growth has slowed to around 1.3% (year to Mar 2025).

UNEMPLOYMENT RATE



Low at 4.1% (Mar 2025).

WAGE GROWTH (ANNUAL)



Easing, but still above pre-COVID levels.

PRODUCTIVITY (LABOUR PRODUCTIVITY GROWTH)



Weak in recent years – a key challenge.

BOTTOM LINE

A policy is successful if, over time, the right indicators move in the right direction towards the objectives—with manageable trade-offs and positive impacts for Australians.